

FUNDAMENTAL ACCOUNTING

(100)

—Secondary—

STATE – 2019

CONCEPT KNOWLEDGE:

Multiple Choice (30 @ 2 points each) _____ (60 points)

APPLICATION KNOWLEDGE:

Accounting Identification (30 @ 1 point each) _____ (30 points)

Short-Answer Problems (14 @ 3 points each) _____ (42 points)

Job 1: Financial Analysis (8 @ 5 points each) _____ (40 points)

Job 2: Special Journals _____ (45 points)

TOTAL POINTS _____ ***(217 points)***

Failure to adhere to any of the following rules will result in disqualification:

- 1. Contestant must hand in this test booklet and all printouts. Failure to do so will result in disqualification.**
- 2. No equipment, supplies, or materials other than those specified for this event are allowed in the testing area. No previous BPA tests and/or sample tests or facsimile (handwritten, photocopied, or keyed) are allowed in the testing area.**
- 3. Electronic devices will be monitored according to ACT standards.**

No more than ten (10) minutes orientation
No more than ninety (90) minutes testing time
No more than ten (10) minutes wrap-up

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Workplace Skills Assessment Program competition.

General Instructions

You have been hired as a Financial Assistant and will be keeping the accounting records for Professional Business Associates, located at 5454 Cleveland Avenue, Columbus, Ohio 43231. Professional Business Associates provides accounting and other financial services for clients. You will complete jobs for Professional Business Associates' own accounting records, as well as for clients.

You will have ninety (90) minutes to complete your work. The test is divided into two parts: concept knowledge and application of knowledge.

Your name and/or school name should *not* appear on any work you submit for grading. Write your contestant number in the provided space. Staple all pages in order before you turn in your test.

Assumptions to make when taking this assessment:

- Round all calculations at the final step to two decimals.
- Use 360 days for interest calculations.

MULTIPLE CHOICE

Identify the letter of the choice that best completes the statement or answers the question.

1. Every revenue account begins each fiscal year with a _____.
 - a. credit balance
 - b. zero balance
 - c. balance equal to the prior year's net revenue
 - d. debit balance
2. An independent accountant who provides accounting services to the public for a fee is known as a _____.
 - a. Certified Independent Accountant
 - b. Certified Private Accountant
 - c. Certified Public Auditor
 - d. Certified Public Accountant
3. $\text{Cost of Merchandise Sold} = \text{Cost of Merchandise Available for Sale} \text{ _____}.$
 - a. minus Beginning Merchandise Inventory
 - b. plus Beginning Merchandise Inventory
 - c. minus Ending Merchandise Inventory
 - d. plus Ending Merchandise Inventory
4. The terms 2/10, n/30 indicate that _____.
 - a. a customer must pay within 10 days to not be assessed a late fee of 2%
 - b. the total invoice less a 2% discount is due in 30 days
 - c. if a customer pays within 10 days, they take 2% off of their amount owed
 - d. the customer will earn a 2% discount if paid within 30 days
5. A cash receipts journal is a special journal used to record _____.
 - a. all cash transactions
 - b. only receipts of cash from sales of merchandise
 - c. all receipts of cash from any source
 - d. only payments received on accounts receivable
6. Gross profit is _____.
 - a. revenues minus expenses
 - b. revenues minus cost of merchandise sold and operating expenses
 - c. revenues minus all cost and expenses
 - d. revenues minus cost of merchandise sold
7. Social Security Tax and Medicare Tax are paid by _____.
 - a. only the employee
 - b. only the employer
 - c. both the employee and the employer
 - d. neither the employee or the employer

8. To calculate the book value of a plant asset, you _____.
 - a. subtract accumulated depreciation from the original cost
 - b. subtract salvage value from the original cost
 - c. subtract annual depreciation from the original cost
 - d. subtract the current market value from the original cost
9. In the closing of accounts at the end of the fiscal period for a proprietorship, which of the following is closed directly into the owner's capital account?
 - a. Depreciation Expense
 - b. Accumulated Depreciation
 - c. revenue and liability accounts
 - d. the Income Summary account
10. On May 1, 2019, a firm purchased a one-year insurance policy for \$1,680 and paid the full premium in advance. The insurance expense associated with this policy for 2019 is _____.
 - a. \$560
 - b. \$980
 - c. \$1,120
 - d. \$1,680
11. A contra revenue account will _____.
 - a. increase the cost of merchandise sold for the period
 - b. decrease the amount of net sales for the period
 - c. increase the net income for the period
 - d. increase the total expenses for the period
12. Preble Company estimates that 2% of their credit sales will be uncollectible. If total sales for the year are \$250,000, of which \$170,000 were cash sales, what will be the amount of the adjusting entry for Uncollectible Accounts Expense?
 - a. \$1,600
 - b. \$3,400
 - c. \$5,000
 - d. \$8,400
13. The *last* closing entry for a corporation is to _____.
 - a. transfer net income to Income Summary
 - b. transfer net income to Retained Earnings
 - c. close Retained Earnings to Dividends
 - d. close Dividends to Retained Earnings
14. The purchases journal is used to record _____.
 - a. all purchases of supplies and merchandise
 - b. only purchases of supplies
 - c. only purchases of merchandise for cash
 - d. only purchases of merchandise on account

15. To calculate return on sales, _____.
 - a. divide Net Income by Sales
 - b. divide Gross Profit by Sales
 - c. divide Sales by Net Income
 - d. divide Sales by Gross Profit
16. Plant assets include all *but* _____.
 - a. Land
 - b. Machine
 - c. Accumulated Depreciation - Machine
 - d. Supplies
17. Which of the following would *not* be an account for a corporation?
 - a. Drawing
 - b. Capital Stock - Preferred
 - c. Retained Earnings
 - d. Dividends
18. Which of the following is a *temporary* account?
 - a. Retained Earnings
 - b. Petty Cash
 - c. Dividends
 - d. Allowance for Uncollectible Accounts
19. To record the paying of the payroll, you debit _____.
 - a. Employee Income Tax Payable, SS Tax Payable, Medicare Tax Payable
 - b. Employee Income Tax Payable, SS Tax Payable, Medicare Tax Payable, Cash
 - c. Payroll Taxes Expense
 - d. Salary Expense
20. The journal used to record the purchase of merchandise for cash is the _____ journal.
 - a. cash receipts
 - b. cash payments
 - c. sales
 - d. purchases
21. The time period used to distinguish current assets from plant assets is _____.
 - a. one month
 - b. one year
 - c. two years
 - d. three years

22. Federal income tax is *only* charged to businesses organized as _____.
a. proprietorships
b. partnerships
c. corporations
d. LLC's
23. This accounting concept *requires* the owner to receive a check from the business when withdrawing money out of the business.
a. Materiality
b. Business Entity
c. Matching Expenses with Revenue
d. Objective Evidence
24. Which of the following *would* be considered an Other Expense on the chart of accounts?
a. Gain on Plant Assets
b. Loss on Plant Assets
c. Cash Short and Over
d. Federal Income Tax
25. Dividends are declared by the _____ of the corporation.
a. CEO
b. Board of Directors
c. President
d. Controller
26. Unemployment tax is paid by the business to the state government _____.
a. each pay period
b. monthly
c. quarterly
d. annually
27. Merchandise is sold on account for \$2,400 in a state that has a 7 percent sales tax rate. The entry in the sales journal will include a credit to Sales Tax Payable for _____.
a. \$ 168
b. \$2,232
c. \$2,400
d. \$2,568
28. Preparing an Income Statement with the expectation that the business will remain ongoing is an application of what accounting concept?
a. Historical Cost
b. Adequate Disclosure
c. Business Entity
d. Going Concern

29. The amount shown in the adjustments credit column for Prepaid Insurance on a worksheet represents _____.
- the amount shown on the Income Statement for Insurance Expense
 - the amount shown on the Balance Sheet for Prepaid Insurance
 - the amount the insurance policy is now worth at the end of the fiscal period
 - the amount the insurance policy was worth at the beginning of the period
30. A customer buys merchandise worth \$250, with a 6% sales tax, on March 18. If terms of sale are 2/10, n/30, how much would you receive from the customer on March 30?
- \$245.00
 - \$250.00
 - \$259.70
 - \$265.00

Account Identification – 1 point per answer

For each account name below, indicate its classification, its normal balance side, and on which financial statement(s) the account appears. Some accounts may appear in more than one financial statement. Both must be listed. Use the appropriate abbreviations for your answers.

<u>Classifications</u>		<u>Normal Balance Side</u>	<u>Financial Statements</u>
A	= Asset	DR = Debit	BS = Balance Sheet
L	= Liability	CR = Credit	IS = Income Statement
SE	= Stockholders' Equity	N = Neither	SOSE = Statement of Stockholders' Equity
R	= Revenue		N = None
C	= Cost of Goods		
E	= Expense		

Account Name	Classification	Normal Balance	Financial Statement(s)
Accounts Receivable	_____	_____	_____
Purchases	_____	_____	_____
Advertising Expense	_____	_____	_____
Prepaid Utilities	_____	_____	_____
Unearned Rent	_____	_____	_____
Income Summary	_____	_____	_____
Retained Earnings	_____	_____	_____
Accumulated Depreciation	_____	_____	_____
Sales Discount	_____	_____	_____
Notes Payable	_____	_____	_____

Short-Answer Problems - 3 points per answer

Place the answers to the following problems in the blank after the question.

1. Calypso Inc. has a 2019 beginning Capital Stock balance of 10,000 shares @ \$11 par value, and a beginning Retained Earnings balance of \$94,500. During 2019, Calypso's Board of Directors declared \$2 per share worth of dividends. Calypso showed net income during 2019 of \$71,700.
 - a. What is the ending balance of Retained Earnings? _____
 - b. How much was declared in dividends during 2019? _____
 - c. What is the Total Stockholders' Equity shown on the Balance Sheet? _____
2. Rodriguez Corp. shows the following balances for 2019: Sales - \$1,460,400; Sales Returns - \$32,610; Purchases - \$825,700; Purchases Discounts - \$14,625; Beginning Merchandise Inventory - \$375,300; Ending Merchandise Inventory - \$352,600
 - a. What are the Net Sales for 2019? _____
 - b. What is the Gross Profit for 2019? _____
 - c. What is the Gross Profit Margin? _____
3. Cable Supplies signs a promissory note with National Bank on March 9. The note is a 90-day, 4.5% note for \$2,250.
 - a. What is the maturity value of the note? _____
 - b. What is the maturity date of the note? _____
4. Ramsey Company sells services for cash as well as credit. They estimate 2% of credit sales will be uncollectible. For 2019, Ramsey's net sales totaled \$542,317, of which \$361,842 were for cash.
 - a. How much in credit sales did Ramsey have for 2019? _____
 - b. What is the estimate of uncollectible accounts for 2019? _____
5. Mumford Sporting Goods bought new store shelving on January 3, 2019. The cost of the shelving was \$24,000, the expected salvage value is \$2,000, and the useful life is 5 years. Mumford uses the Straight-line method of depreciation.
 - a. What is the depreciation expense for 2019 on the store shelves? _____
 - b. What is the book value at the end of 2019? _____
 - c. What is the depreciation expense for 2020 on the store shelves? _____
 - d. What is the book value at the end of 2020? _____

Job 1 – Financial Analysis – 5 points each

End-of-the-year adjusted balances for Anderson Electronics, Inc. are shown below.

Cash - \$32,650
Accounts Receivable - \$10,800
Allowance for Uncollectible Accounts - \$570
Supplies - \$2,300
Merchandise Inventory - \$117,600
Equipment - \$120,000
Accumulated Depreciation - Equipment - \$22,600
Accounts Payable - \$24,700
Sales Tax Payable - \$8,100
Employee Income Tax Payable - \$6,200
Social Security Tax Payable - \$3,700
Capital Stock - \$125,000
Beginning Retained Earnings - \$64,350
Dividends - \$12,000
Sales - \$398,370
Sales Discount - \$3,210
Purchases - \$218,600
Purchases Discount - \$2,940
Net Income for the year - \$40,130

Find the following:

- a. Accounts Receivable Book Value_____
- b. Total Assets _____
- c. Working Capital_____
- d. Current Ratio_____
- e. Ending Retained Earnings_____
- f. Total Liabilities & Stockholders' Equity_____
- g. Return on Sales_____
- h. Return on Assets_____

Job 2 – Special Journals – 45 points

Analyze the transactions on the following page for Parker Paints into their debit and credit parts using the account numbers below. Some transactions might have multiple debits and credits. All must be shown to be correct. Identify which special journal the transaction would be recorded in using the codes provided.

Special Journals

P	-	Purchases Journal
S	-	Sales Journal
CP	-	Cash Payments
CR	-	Cash Receipts
G	-	General Journal

Chart of Accounts

110	Cash
120	Accounts Receivable
130	Notes Receivable
140	Merchandise Inventory
150	Supplies
160	Prepaid Rent
210	Accounts Payable
220	Notes Payable
230	Sales Tax Payable
310	Dexter Crawley, Capital
320	Dexter Crawley, Drawing
330	Income Summary
410	Sales
420	Sales Discounts
430	Sales Returns and Allowances
440	Interest Income
510	Purchases
520	Purchases Discounts
530	Purchases Returns and Allowances
610	Advertising Expense
620	Interest Expense
630	Miscellaneous Expense
640	Rent Expense
650	Supplies Expense

FUNDAMENTAL ACCOUNTING (S) – STATE 2019

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	Journal	Debit	Credit
1. Paid ABC Storage \$900 in advance for three months of rent for storage space.	_____	_____	_____
2. Sent a \$500 check to Bixby Realty for monthly rent on building lease.	_____	_____	_____
3. Sold merchandise worth \$700 to Brian Jones, plus sales tax of \$49. Brian paid \$500 at the time of the sale.	_____	_____	_____
4. Ordered merchandise over the phone from Carter & Hines Paints worth \$2,500, amount to be paid later. Terms of sale are 2,10, n/30.	_____	_____	_____
5. Recorded cash sales of \$7,500 plus sales tax of \$525.	_____	_____	_____
6. Merchandise from transaction #4 was received. Some paint cans were damaged. Granted allowance of \$400 from Carter & Hines Paints.	_____	_____	_____
7. Brian Jones paid amount owed from #3.	_____	_____	_____
8. Issued a check to Carter & Hines Paints for amount owed, less discount for early payment.	_____	_____	_____
9. Bought supplies on account for \$800.	_____	_____	_____
10. Dexter Crawley withdrew supplies from the business in the amount of \$350.	_____	_____	_____
11. Sent a check to Outdoor Signs Inc. in the amount of \$600 for billboard advertisement.	_____	_____	_____
12. Received a check from a customer to pay off a promissory note of \$800 plus interest of \$43.	_____	_____	_____
13. Recorded sale of merchandise of \$3,700 plus sales tax of \$259. Payment to be received at a later date from the customer. Terms of the sale are 2/10, n/30.	_____	_____	_____
14. Granted credit to the customer for merchandise returned, \$200, plus sales tax of \$14.	_____	_____	_____
15. Received payment from the customer for amount owed of \$3,745 less discount for early payment.	_____	_____	_____